

Chapter 11

Tom Claugus

A Change of Plans

Thomas Claugus had it all planned out. Financial security was very important. He would get a degree in a practical science and an MBA, a set of credentials he felt would ensure a successful career. And that is just what he did. After receiving a degree in chemical engineering, Claugus spent two years working in his chosen field and then interrupted his working career to attend Harvard Business School. After receiving his MBA, Claugus returned to his former company, Rohm & Haas, and worked his way up the corporate ladder. Within 15 years, he was manager of their European operations and thought to be in line to eventually become the firm's CEO. He had financial security. His career was on an upward trajectory. He loved his job and the people he worked with. It was all going exactly to plan except . . .

Claugus had another passion. He was also an avid stock investor who first became enticed by the stock market as a child. Claugus adhered to a discipline of living on only one-third of his income and investing the remainder. Through a combination of strong performance and the additional investment of his annual savings, his stock account grew steadily over the years. Eventually, Claugus found that he was earning more money from the stock account than from his executive position in the chemical industry. He decided to abandon his successful career to become a portfolio manager. He said it was the most difficult decision he ever made. His second thoughts about this decision and the vacillation that followed led to great personal angst as described in the interview.

Claugus has realized a 17 percent average annual compounded net return over a 19-year period. His audited personal account did even better,